

"Dhirubhai will go one day. But Reliance's employees and shareholders will keep it afloat. Reliance is now a concept in which the Ambanis have become irrelevant"

— DHIRUBHAI AMBANI
to INDIA TODAY, *1989*

CAPITAL CATALYST

» Following Reliance's first IPO of Rs 2.8 crore in 1977, Ambani was able to deliver handsome returns to his investors, largely from the middle class

» The Reliance IPO sparked an equity boom, paving the way for a wave of corporates to enter the stock market

» As per the Economic Survey FY24, there were over 95 million individual (retail) investors, who have nearly 10 per cent direct ownership of the market

» From an era of low amounts, the IPO market has been seeing big-ticket fund-raising such as the recent Rs 11,300 crore Swiggy IPO in November this year

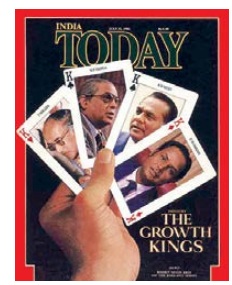
DID YOU KNOW?

In its first year of listing, Reliance reached Rs 50, five times the par value of the share, a high premium in those times

especially among the rising middle class, the annual amount invested in equities surged to Rs 100 crore in 1983.

However, it was with the use of convertible debentures that Ambani made his big splash in the capital markets. By the end of 1986, he had raised an unprecedented Rs 940 crore from the public over eight years, including Rs 500 crore from one debenture issue alone. For the first time, an Indian entrepreneur was carrying out a new experiment in running a big business undertaking entirely on resources drawn from the public. "Even my worst enemies have not denied me credit for having pioneered a revolution in the Indian capital market, for bringing the equity culture to the money market, the middle class and farmers," Ambani told INDIA TODAY in an interview in 1989.

In many ways, this heralded the beginning of the equity cult in India. Between 1980 and 1985, the number of Indians owning shares rose from under a million to four million; Reliance shareholders numbered upward of a million by the end of 1985. The market saw the entry of three non-traditional classes of investors—the Indian middle class, the expatriate Indian communities in Britain, North America and Southeast Asia after their expulsion from East Africa in the 1960s, and the larger landowning farmers, flush with money after the huge crop-yield increases of the Green Revolution during the '60s and '70s, and continuing to enjoy tax exemption on their income. As many as 20 major exchanges played host to the equity mania, the most prominent among them being the Bombay Stock Exchange. ■



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